

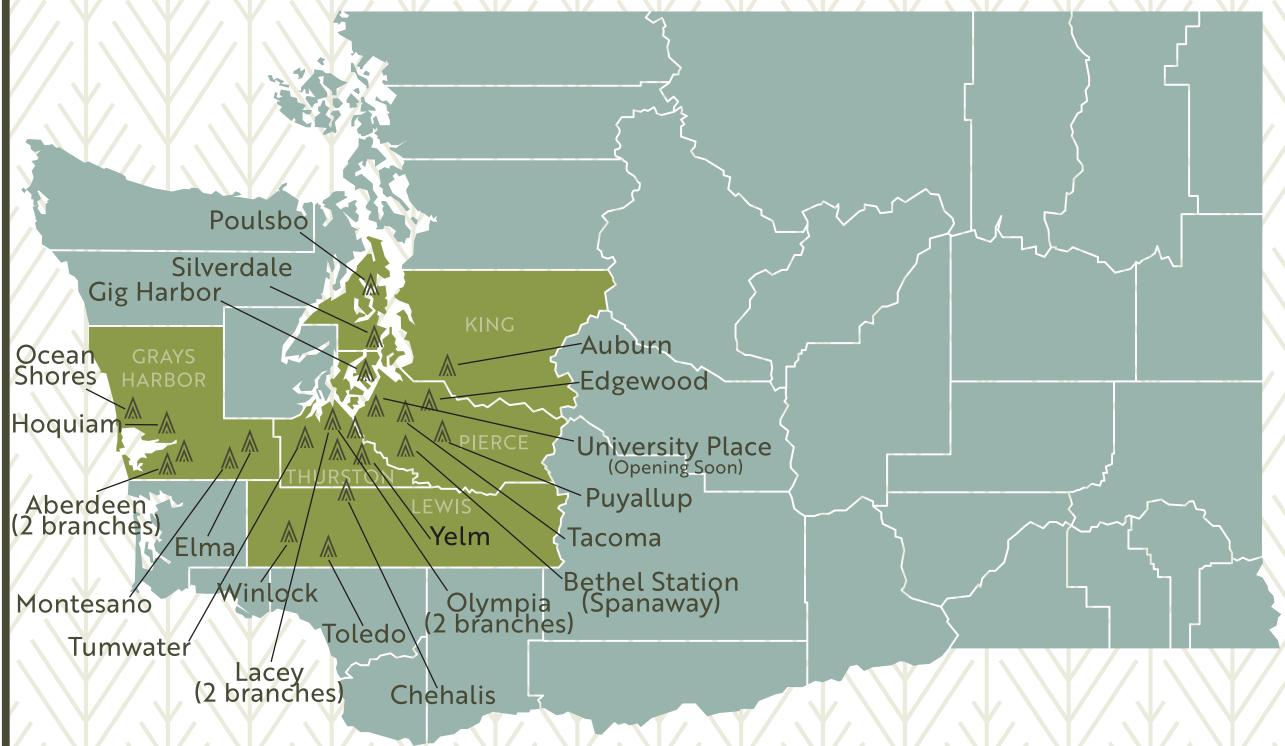
A photograph of a dense forest of tall evergreen trees, likely spruce or fir, shrouded in a thick mist or fog. The trees are dark green and stand against a lighter, hazy background, creating a sense of depth and tranquility. The lighting is soft, with some light filtering through the canopy.

2025 ANNUAL REPORT

**PLANT YOUR
FUTURE HERE**



Timberland Branch Locations





Dear Fellow Shareholders of Timberland Bancorp, Inc.:

On behalf of the Directors and Employees of Timberland Bancorp, Inc. and its subsidiary, Timberland Bank, it is our privilege to invite you to attend the annual meeting for our fiscal year ended September 30, 2025. The meeting will be convened on January 27, 2026, at 1:00 p.m. and will be conducted virtually. Instructions to access the virtual meeting are included on your proxy card and are also included in the instructions accompanying your proxy materials. During the meeting we will review the Company's operating results for the recently concluded fiscal year and the subsequent first fiscal quarter, conduct an election of Directors, vote on other matters described in the proxy statement and respond to appropriate questions from shareholders.



Dean J. Brydon



Jonathan A. Fischer

We encourage you to review the information contained in the Form 10-K following this letter to acquaint yourself with the Company's 2025 fiscal year financial performance.

Overall, it was an encouraging year for the banking industry as the yield curve regained some much-needed slope, and margins began to recover. The industry also saw deposits levels not only stabilize but begin to grow again at a more normalized pace. Despite the continued uncertainties in the economy, the outlook for community banks looks brighter than it has in recent years.

Fiscal 2025 was a record year for Timberland in terms of profitability, as we reached all-time highs for net income and earnings per share. We also saw steady balance sheet growth and surpassed the \$2 billion mark for the first time in our history.

A few of the highlights from the 2025 fiscal year include:

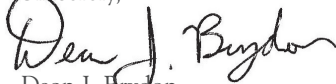
- Diluted Earnings Per Share ("EPS") increased to \$3.67;
- Net Income increased to \$29.16 million;
- Return on Average Assets increased to 1.50%;
- Return on Average Equity increased to 11.56%;
- Net Interest Margin increased to 3.76%;
- Total Assets increased by 5%;
- Liquidity (both on-balance sheet and off-balance sheet) remained strong with only \$20 million in borrowings and additional secured borrowing line capacity of \$690 million available through the Federal Home Loan Bank and the Federal Reserve.
- Non-performing assets to total assets ratio of only 0.23% at September 30, 2025;
- Tier 1 Leverage Capital Ratio increased to 12.59% at September 30, 2025; and
- Increased the quarterly cash dividend to shareholders to \$0.28 per share, marking 52 consecutive quarters of paying cash dividends.

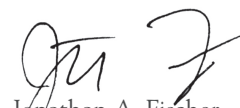
We believe Timberland is well-positioned to continue generating top-quartile financial results while implementing initiatives to grow the Company. We are excited to be in the process of opening a new full-service branch in University Place. This expansion positions us to better serve a growing market with strong business potential and deepen our commercial banking relationships in the area.

We would like to thank our Employees for their hard work and dedication to serving our customers, communities, and shareholders.

Thank you for choosing to be a shareholder of the Company. We encourage you to participate in our virtual annual meeting.

We wish you a Merry Christmas and a Happy New Year!

Sincerely,

Dean J. Brydon
CEO

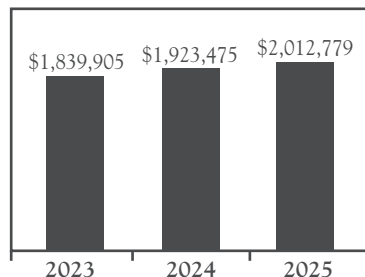

Jonathan A. Fischer
President & COO

FINANCIAL HIGHLIGHTS

TIMBERLAND BANCORP, INC. AND SUBSIDIARY

The following table presents selected financial information concerning the consolidated financial position and results of operations of Timberland Bancorp, Inc. ("Company") at and for the dates indicated. The consolidated data is derived in part from, and should be read in conjunction with, the Consolidated Financial Statements of the Company and its subsidiary presented herein. (Dollars in thousands except share data)

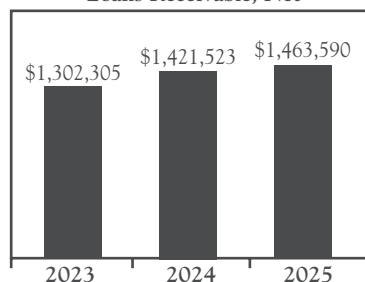
Total Assets



SELECTED FINANCIAL DATA

	September 30,		
	2023	2024	2025
Total Assets	\$1,839,905	\$1,923,475	\$2,012,779
Loans Receivable, Net	1,302,305	1,421,523	1,463,590
Total Deposits	1,560,935	1,647,668	1,716,635
Shareholders' Equity	233,073	245,413	262,614

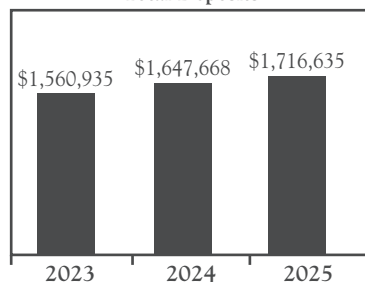
Loans Receivable, Net



OPERATING DATA

Interest and Dividend Income	\$ 79,951	\$ 94,825	\$ 102,277
Interest Expense	11,592	30,658	32,077
Net Interest Income	68,359	64,167	70,200
Provision for Credit Losses	2,132	1,151	934
Net Interest Income after Provision for Credit Losses	66,227	63,016	69,266
Non-Interest Income	11,140	11,136	12,352
Non-Interest Expense	43,373	43,746	45,387
Income before Income Taxes	33,994	30,406	36,231
Provision for Income Taxes	6,876	6,123	7,070
Net Income	\$ 27,118	\$ 24,283	\$ 29,161

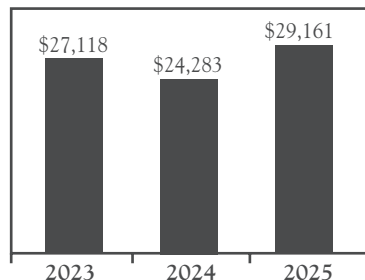
Total Deposits



NET INCOME PER COMMON SHARE

Basic	\$ 3.32	\$ 3.02	\$ 3.68
Diluted	3.29	3.01	3.67

Net Income



KEY FINANCIAL RATIOS

Return on Average Assets	1.50%	1.28%	1.50%
Return on Average Equity	12.01	10.19	11.56
Net Interest Margin	3.95	3.54	3.76
Efficiency Ratio	54.56	58.09	54.98
Non-Performing Assets to Total Assets (1)	0.09	0.20	0.23
Total Equity-to-Assets	12.67	12.76	13.05

(1) Non-performing assets include non-accrual loans, loans past due 90 days or more and still accruing, non-accrual investment securities, other real estate owned and other repossessed assets.

2025 FORM 10-K

We have included our Form 10-K, as filed with the Securities and Exchange Commission, with our annual report to give you more complete information about our Company. A table of contents can be found facing page one.

Written requests to obtain a copy of any exhibit listed in Part IV should be sent to Timberland Bancorp, Inc., 624 Simpson Avenue, Hoquiam, Washington 98550, attention: Investor Relations Department.

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UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

FORM 10-K

- ☒ ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934
For the Fiscal Year Ended September 30, 2025

TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE
SECURITIES EXCHANGE ACT OF 1934

- ☐ For the transition period from _____ to _____

Commission File Number: 0-23333

TIMBERLAND BANCORP, INC.

(Exact name of registrant as specified in its charter)

<u>Washington</u> (State or other jurisdiction of incorporation or organization)	<u>91-1863696</u> (I.R.S. Employer Identification No.)
<u>624 Simpson Avenue, Hoquiam, Washington</u> (Address of principal executive offices)	<u>98550</u> (Zip Code)
<u>Registrant's telephone number, including area code:</u>	<u>(360) 533-4747</u>

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading Symbol(s)	Name of each exchange on which registered
Common stock, \$.01 par value	TSBK	The NASDAQ Stock Market LLC

Securities registered pursuant to Section 12(g) of the Act:

None

Indicate by check mark if the registrant is a well-known seasoned issuer, as defined in Rule 405 of the Securities Act. Yes ☐ No ☒

Indicate by check mark if the registrant is not required to file reports pursuant to Section 13 or Section 15(d) of the Act. Yes ☐ No ☒

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files) Yes ☒ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company, or an emerging growth company. See the definitions of "large accelerated filer," "accelerated filer," "smaller reporting company" and "emerging growth company" in Rule 12b-2 of the Exchange Act:

Large accelerated filer	☐	Accelerated filer	☒	Non-accelerated filer	☐
Smaller reporting company	☒	Emerging growth company	☐		

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant has filed a report on and attestation to its management's assessment of the effectiveness of its internal control over financial reporting under Section 404(b) of the Sarbanes-Oxley Act (15 U.S.C. 7262(b)) by the registered public accounting firm that prepared or issued its audit report. ☒

If securities are registered pursuant to Section 12(b) of the Act, indicate by check mark whether the financial statements of the registrant included in the filing reflect the correction of an error to previously issued financial statements. ☐

Indicate by check mark whether any of those error corrections are restatements that required a recovery analysis of incentive-based compensation received by any of the registrant's executive officers during the relevant recovery period pursuant to §240.10D-1.b. ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Act). Yes ☐ No ☒

As of December 2, 2025, the registrant had 7,880,773 shares of common stock issued and outstanding. The aggregate market value of the common stock held by nonaffiliates of the registrant, based on the closing sales price of the registrant's common stock as quoted on the NASDAQ Global Market on March 31, 2025, was \$238.29 million (7,903,489 shares at \$30.15). For purposes of this calculation, common stock held by officers and directors of the registrant was included.

DOCUMENTS INCORPORATED BY REFERENCE

1. Portions of Definitive Proxy Statement for the 2025 Annual Meeting of Shareholders (Part III).

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TIMBERLAND BANCORP, INC.
2025 ANNUAL REPORT ON FORM 10-K
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As used throughout this report, the terms “we,” “us,” “our” and the “Company” refer to Timberland Bancorp, Inc. and its consolidated subsidiaries, unless the context indicates otherwise. References to the “Bank” in this report refer to Timberland Bank, a wholly- owned subsidiary of Timberland Bancorp, Inc., and the Bank’s wholly- owned subsidiary, Timberland Service Corporation.

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Special Note Regarding Forward-Looking Statements

Certain matters discussed in this Annual Report on Form 10-K may contain forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995. These statements relate to our financial condition, results of operations, plans, objectives, future performance or business. Forward-looking statements are not statements of historical fact, are based on certain assumptions and often include the words "believes," "expects," "anticipates," "estimates," "forecasts," "intends," "plans," "targets," "potentially," "probably," "projects," "outlook" or similar expressions or future or conditional verbs such as "may," "will," "should," "would" and "could." Forward-looking statements include statements with respect to our beliefs, plans, objectives, goals, expectations, assumptions and statements about future economic performance. These forward-looking statements are subject to known and unknown risks, uncertainties and other factors that could cause our actual results to differ materially from the results anticipated or implied by our forward-looking statements, including, but not limited to:

- adverse impacts to economic conditions in our local markets or other markets where we have lending relationships;
- effects of employment levels, labor shortages inflation, a recession or slowed economic growth;
- changes in interest rate levels and the duration of such changes, including actions by the Board of Governors of the Federal Reserve System ("Federal Reserve"), which could materially affect our net interest margin, funding costs, asset values, access to capital and liquidity;
- the impact of inflation, including monetary and fiscal policy responses thereto, and the impact on consumer and business behavior;
- Geopolitical developments and international conflicts, including but not limited to tensions or instability in Eastern Europe, the Middle East, and Asia, or the imposition of new or increased tariffs and trade restrictions, which may disrupt financial markets, global supply chains, energy prices, or economic activity in specific industry sectors;
- the effects of a Federal government shutdown, a debt ceiling standoff, or other fiscal policy uncertainty;
- credit risks of lending activities, including loan delinquencies, write-offs, changes in our allowance for credit losses ("ACL"), and provision for credit losses;
- fluctuations in the demand for loans, the number of unsold homes, land and other properties, and real estate values in our market areas;
- secondary market conditions for loans and our ability to sell loans in the secondary market;
- results of examinations of us by regulatory authorities, including the possibility that any such regulatory authority may, among other things, institute a formal or informal enforcement action against us or our bank subsidiary which could require us to increase our ACL, write-down assets, change our regulatory capital position or affect our ability to borrow funds or maintain or increase deposits or impose additional requirements or restrictions on us, any of which could adversely affect our liquidity and earnings;
- the impact of bank failures or adverse developments at other banks and related negative press about the banking industry in general on investor and depositor sentiment;
- legislative or regulatory changes, including changes in banking, securities and tax law, in regulatory policies and principles, or the interpretation of regulatory capital or other rules;
- our ability to attract and retain deposits;
- our ability to control operating costs and expenses;
- the ability to adapt to rapid technological changes, including advancements in artificial intelligence, digital banking, and cybersecurity;
- use of estimates in determining the fair value of assets, which may prove incorrect;
- staffing fluctuations in response to product demand or corporate implementation strategies;
- vulnerabilities in information systems or third-party service providers, including disruptions, breaches, or attacks;
- our ability to retain key members of our senior management team;
- costs and effects of litigation, including settlements and judgments;
- our ability to implement our business strategies, including expectations regarding key growth initiatives and strategic priorities;
- increased competitive pressures among financial services companies;
- changes in consumer spending, borrowing and savings habits;
- the availability of resources to address changes in laws, rules, or regulations or to respond to regulatory actions;
- our ability to pay dividends on our common stock;
- quality and composition of our securities portfolio and the impact of adverse changes in the securities markets;
- inability of key third-party providers to perform their obligations;
- changes in accounting policies and practices, as may be adopted by the bank regulatory agencies, the Public Company Accounting Oversight Board or the Financial Accounting Standards Board ("FASB");
- environmental, social and governance goals and targets;

- effects of climate change, severe weather events, natural disasters, pandemics, epidemics and other public health crises, acts of war or terrorism, civil unrest, and other external events;
- other economic, competitive, governmental, regulatory, and technological factors affecting our operations, pricing, products and services; and
- other risks described elsewhere in this Annual Report on Form 10-K for the fiscal year ended September 30, 2025 (the “2025 Form 10-K”) and in the Company's other reports filed with or furnished to the Securities and Exchange Commission.

Any of the forward-looking statements that we make in this 2025 Form 10-K and in the other public statements we make are based upon management's beliefs and assumptions at the time they are made. We do not undertake and specifically disclaim any obligation to publicly update or revise any forward-looking statements included in this annual report to reflect the occurrence of anticipated or unanticipated events or circumstances after the date of such statements or to update the reasons why actual results could differ from those contained in such statements, whether as a result of new information, future events or otherwise. In light of these risks, uncertainties and assumptions, the forward-looking statements discussed in this document might not occur and we caution readers not to place undue reliance on any forward-looking statements. These risks could cause our actual results for fiscal 2026 and beyond to differ materially from those expressed in any forward-looking statements by, or on behalf of, us, and could negatively affect the Company's consolidated financial condition and results of operations as well as its stock price performance.

PART I

Item 1. Business

General

Timberland Bancorp, Inc. (“Timberland Bancorp”), a Washington corporation, was organized on September 8, 1997 for the purpose of becoming the holding company for Timberland Bank (the “Bank”). At September 30, 2025, on a consolidated basis, the Company had total assets of \$2.01 billion, net loans receivable of \$1.46 billion, total deposits of \$1.72 billion and total shareholders’ equity of \$262.61 million. The Company’s business activities generally are limited to passive investment activities and oversight of its investment in the Bank. Accordingly, the information set forth in this report, including consolidated financial statements and related data, relates primarily to the Bank and its subsidiary, Timberland Service Corp.

The Bank opened for business in 1915 and serves consumers and businesses across Grays Harbor, Pierce, Thurston, King, Kitsap and Lewis counties, Washington with a full range of lending and deposit services through its 23 branches (including its main office in Hoquiam). The Bank’s deposits are insured up to applicable legal limits by the Federal Deposit Insurance Corporation (the “FDIC”). The Bank has been a member of the Federal Home Loan Bank System since 1937. The Bank is regulated by the Washington State Department of Financial Institutions - Division of Banks (the “DFI”) and the FDIC. The Company is regulated by the Federal Reserve.

Timberland Bank is a community-oriented bank which has traditionally offered a variety of savings products to its retail customers while concentrating its lending activities on real estate mortgage loans. Lending activities have been focused primarily on the origination of loans secured by real estate, including residential and commercial / multi-family construction loans, one- to four-family residential loans, multi-family loans, commercial real estate loans and land loans. The Bank originates adjustable-rate residential mortgage loans that do not qualify for sale in the secondary market. The Bank also originates commercial business loans and other consumer loans.

The Company maintains a website at www.timberlandbank.com. The information contained on that website is not included as a part of, or incorporated by reference into, this Annual Report on Form 10-K. Other than an investor’s own internet access charges, the Company makes available free of charge through that website the Company’s Annual Report on Form 10-K, quarterly reports on Form 10-Q and current reports on Form 8-K, and amendments to these reports, as soon as reasonably practicable after these materials have been electronically filed with, or furnished to, the Securities and Exchange Commission (“SEC”). These reports are also available on the SEC’s website at <http://www.sec.gov>.

Market Area

The Bank considers Grays Harbor, Pierce, Thurston, King, Kitsap and Lewis counties, Washington as its primary market areas. The Bank conducts operations from:

- its main office in Hoquiam (Grays Harbor County);
- five branch offices in Grays Harbor County (Ocean Shores, Montesano, Elma and two branches in Aberdeen);
- five current branch offices in Pierce County (Edgewood, Puyallup, Spanaway, Tacoma, and Gig Harbor and another location opening soon (University Place));
- six branch offices in Thurston County (Tumwater, Yelm, two branches in Lacey and two branches in Olympia);
- two branch offices in Kitsap County (Poulsbo and Silverdale);
- a branch office in King County (Auburn); and
- three branch offices in Lewis County (Winlock, Toledo and Chehalis).

For additional information, see “Item 2. Properties.”

Hoquiam, with a population of approximately 8,800, is located in Grays Harbor County along Washington State’s central Pacific coast. Hoquiam is approximately 110 miles southwest of Seattle, Washington and 145 miles northwest of Portland, Oregon.

The Bank considers its primary market area to include six sub-markets: primarily rural Grays Harbor County with its historical dependence on the timber and fishing industries; Thurston and Kitsap counties with their dependence on state and federal government employment; Pierce and King counties with their broadly diversified economic bases; and Lewis County with its dependence on retail trade, manufacturing, industrial services and local government. Each of these markets presents operating risks to the Bank. The Bank’s expansion into Pierce, Thurston, Kitsap, King and Lewis counties reflects the Bank’s strategy to expand and diversify its primary market area and to become less reliant on the economy of Grays Harbor County.

Grays Harbor County has a population of 78,000 according to the United States ("U.S.") Census Bureau 2024 estimates and a median family income of \$94,800 according to 2025 estimates from the Department of Housing and Urban Development (“HUD”). The economic base in Grays Harbor County has been historically dependent on the timber and fishing industries. Other industries that support the economic base are tourism, agriculture, shipping, transportation and technology. According to the Washington State Employment Security Department, the unemployment rate in Grays Harbor County increased to 5.6% at August 31, 2025 from 5.5% at September 30, 2024. The median price of a resale home in Grays Harbor County for the quarter ended June 30, 2025 increased 2.9% to \$368,400 from \$358,100 for the comparable prior year period. The number of home sales increased 9.2% for the quarter ended June 30, 2025 compared to the same quarter one year earlier. The Bank has six branches (including its home office) located in the county.

Pierce County is the second most populous county in the state and has a population of 941,000 according to the U.S. Census Bureau 2024 estimates. The county’s median family income is \$120,800 according to 2025 HUD estimates. The economy in Pierce County is diversified with the presence of military related government employment (Joint Base Lewis-McChord), transportation and shipping employment (Port of Tacoma), and aerospace related employment. According to the Washington State Employment Security Department, the unemployment rate for the Pierce County area increased to 5.0% at August 31, 2025 from 4.5% at September 30, 2024. The median price of a resale home in Pierce County for the quarter ended June 30, 2025 increased 1.7% to \$579,500 from \$569,600 for the comparable prior year period. The number of home sales decreased 1.3% for the quarter ended June 30, 2025 compared to the same quarter one year earlier. The Bank has five branches located in Pierce County, and these branches have historically been responsible for a substantial portion of the Bank’s construction lending activities.

Thurston County has a population of 303,000 according to the U.S. Census Bureau 2024 estimates and a median family income of \$116,700 according to 2025 HUD estimates. Thurston County is home of Washington State’s capital (Olympia), and its economic base is largely driven by state government related employment. According to the Washington State Employment Security Department, the unemployment rate for the Thurston County area increased to 4.5% at August 31, 2025 from 3.8% at September 30, 2024. The median price of a resale home in Thurston County for the quarter ended June 30, 2025 increased 6.4% to \$547,000 from \$514,100 for the same quarter one year earlier. The number of home sales increased 1.6% for the quarter ended June 30, 2025 compared to the same quarter one year earlier. The Bank has six branches located in Thurston County. This county has historically had a stable economic base primarily attributable to the state government presence.

Kitsap County has a population of 281,000 according to the U.S. Census Bureau 2024 estimates and a median family income of \$124,300 according to 2025 HUD estimates. The Bank has two branches located in Kitsap County. The economic base of Kitsap County is largely supported by military related government employment through the U.S. Navy. According to the Washington State Employment Security Department, the unemployment rate for the Kitsap County area increased to 4.3% at August 31, 2025 from 3.8% at September 30, 2024. The median price of a resale home in Kitsap County for the quarter ended

June 30, 2025 increased 2.9% to \$589,900 from \$573,400 for the same quarter one year earlier. The number of home sales increased 3.5% for the quarter ended June 30, 2025 compared to the same quarter one year earlier.

King County is the most populous county in the state and has a population of 2.3 million according to the U.S. Census Bureau 2024 estimates. The Bank has one branch located in King County. The county's median family income is \$166,900 according to 2025 HUD estimates. King County's economic base is diversified with many industries including shipping, transportation, aerospace, computer technology and biotech. According to the Washington State Employment Security Department, the unemployment rate for the King County area increased to 4.5% at August 31, 2025 from 4.2% at September 30, 2024. The median price of a resale home in King County for the quarter ended June 30, 2025 increased 3.0% to \$1.03 million from \$999,300 for the same quarter one year earlier. The number of home sales decreased 3.4% for the quarter ended June 30, 2025 compared to the same quarter one year earlier.

Lewis County has a population of 87,000 according to the U.S. Census Bureau 2024 estimates and a median family income of \$94,800 according to 2025 HUD estimates. The economic base in Lewis County is supported by manufacturing, retail trade, local government and industrial services. According to the Washington State Employment Security Department, the unemployment rate in Lewis County increased to 5.5% at August 31, 2025 from 4.7% at September 30, 2024. The median price of a resale home in Lewis County for the quarter ended June 30, 2025 increased 3.0% to \$424,000 from \$411,600 for the same quarter one year earlier. The number of home sales decreased 1.1% for the quarter ended June 30, 2025 compared to the same quarter one year earlier. The Bank has three branches located in Lewis County.

Lending Activities

General. Historically, the principal lending activity of the Bank has consisted of originating loans secured by first mortgages on owner-occupied, one- to four-family residences, multi-family properties, commercial real estate, raw or developed land, as well as originating construction loans. The Bank's net loans receivable totaled \$1.46 billion at September 30, 2025, representing 72.7% of consolidated total assets. At that date, commercial real estate, construction (including undisbursed loans in process), multi-family and land loans were \$1.08 billion, or 73.4% of total loans. Commercial real estate, construction, multi-family, and land loans typically have higher yields than one- to four-family loans; however, they also present a higher degree of risk.

The Bank's internal loan policy limits the maximum amount of loans to one borrower to 90% of its legal lending limit (which is 20% of its capital plus surplus). According to the Washington Administrative Code, capital and surplus are defined as a bank's Tier 1 capital, Tier 2 capital and the balance of a bank's ACL not included in the bank's Tier 2 capital as reported in the bank's call report. At September 30, 2025, the maximum amount which the Bank could have lent to any one borrower and the borrower's related entities was approximately \$47.10 million under this policy. At September 30, 2025, the largest amount outstanding to any one borrower and the borrower's related entities was \$41.57 million (including \$9.38 million in available lines of credit), which was secured by various commercial real estate and residential properties and other business assets located primarily in King and Pierce counties. These loans were performing according to their repayment terms at September 30, 2025. The next largest amount outstanding to any one borrower and the borrower's related entities was \$41.35 million (including \$8.45 million of undisbursed construction loan proceeds). These loans were secured by multi-family, one- to four-family and commercial real estate properties located primarily in Thurston County and were performing according to their repayment terms at September 30, 2025.

Loan Portfolio Analysis. The following table sets forth the composition of the Bank's loan portfolio by type of loan at the dates indicated.

	At September 30,					
	2025		2024		2023	
	Amount	Percent	Amount	Percent	Amount	Percent
	(Dollars in thousands)					
Mortgage Loans:						
One- to four-family (1)	\$ 317,691	20.16%	\$ 299,123	19.75%	\$ 253,227	17.75%
Multi-family	207,767	13.19	177,350	11.71	127,176	8.91
Commercial	610,692	38.76	599,219	39.57	568,265	39.84
Construction - custom and owner/ builder	130,341	8.27	132,101	8.72	129,699	9.09
Construction - speculative one- to four-family	10,745	0.69	11,495	0.76	17,099	1.20
Construction - commercial	21,818	1.38	29,463	1.95	51,064	3.58
Construction - multi-family	45,660	2.90	28,401	1.88	57,140	4.01
Construction - land development	15,324	0.98	17,741	1.17	18,841	1.32
Land	35,952	2.28	29,366	1.94	26,726	1.87
Total mortgage loans	1,395,990	88.61	1,324,259	87.45	1,249,237	87.57
Consumer Loans:						
Home equity and second mortgage	50,479	3.20	47,913	3.16	38,281	2.68
Other	2,034	0.13	3,129	0.21	2,772	0.20
Total consumer loans	52,513	3.33	51,042	3.37	41,053	2.88
Commercial Loans:						
Commercial business	126,937	8.06	138,743	9.16	135,802	9.52
U.S. Small Business Administration ("SBA") Paycheck Protection Program ("PPP")	58	—	260	0.02	466	0.03
Total commercial loans	126,995	8.06	139,003	9.18	136,268	9.55
Total loans receivable	1,575,498	100.00%	1,514,304	100.00%	1,426,558	100.00%
Less:						
Undisbursed portion of construction loans in process	(88,289)		(69,878)		(103,194)	
Deferred loan origination fees, net	(5,528)		(5,425)		(5,242)	
ACL (2)	(18,091)		(17,478)		(15,817)	
Total loans receivable, net	\$ 1,463,590		\$ 1,421,523		\$ 1,302,305	

(1) Does not include loans held for sale of \$1,127, \$0, and \$400 at September 30, 2025, 2024, and 2023, respectively.

(2) Amounts for fiscal years 2025 and 2024 were calculated using the Current Expected Credit Loss ("CECL") methodology to determine the ACL. Amounts reported prior to October 1, 2023, were based on the previous incurred loss methodology, which is not directly comparable to the ACL calculated under the CECL methodology.

Residential One- to Four-Family Lending. At September 30, 2025, \$317.69 million, or 20.2%, of the Bank's loan portfolio consisted of loans secured by one- to four-family residences. The Bank originates both fixed-rate loans and adjustable-rate loans.

Generally, one- to four-family fixed-rate loans are originated to meet the requirements for sale in the secondary market to the Federal Home Loan Mortgage Corporation ("Freddie Mac"). From time to time, however, a portion of these fixed-rate loans may be retained in the loan portfolio to meet the Bank's asset/liability management objectives. The Bank uses an automated underwriting program, which preliminarily qualifies a loan as conforming to Freddie Mac underwriting standards when the loan is originated. At September 30, 2025, \$113.70 million, or 35.8%, of the Bank's one- to four-family loan portfolio consisted of fixed-rate mortgage loans.

The Bank also offers adjustable-rate mortgage ("ARM") loans. All the Bank's ARM loans are retained in its loan portfolio. The Bank offers several ARM products which adjust annually or every three to five years after an initial period ranging from one to five years and are typically subject to a limitation on the annual interest rate increase of 2% and an overall limitation of 6%. These ARM products generally are re-priced utilizing the weekly average yield on one-year U.S. Treasury securities adjusted to a constant maturity of one year plus a margin of 2.50% to 4.00%. The Bank also offers ARM loans tied to the Wall Street Journal prime lending rate ("Prime Rate") index which typically do not have periodic or lifetime adjustment limits. Loans tied to the Prime Rate normally have margins ranging up to 3.0%. ARM loans held in the Bank's portfolio do not permit negative amortization of principal. Borrower demand for ARM loans versus fixed-rate mortgage loans is a function of the level of interest rates, the expectations of changes in the level of interest rates and the difference between the initial interest rates and fees charged for each type of loan. The relative amount of fixed-rate mortgage loans and ARM loans that can be originated at any time is largely determined by the demand for each in a competitive environment. At September 30, 2025, \$203.99 million, or 64.2%, of the Bank's one- to four- family loan portfolio consisted of ARM loans.

A portion of the Bank's ARM loans are "non-conforming," because they do not satisfy acreage limits or various other requirements imposed by Freddie Mac. Some of these loans are also originated to meet the needs of borrowers who cannot otherwise satisfy Freddie Mac credit requirements because of personal and financial reasons (i.e., divorce, bankruptcy, length of time employed, etc.), and other aspects which do not conform to Freddie Mac's guidelines. Such borrowers may have higher debt-to-income ratios, or the loans are secured by unique properties in rural markets for which there are no sales of comparable properties to support the value according to secondary market requirements. These loans are known as non-conforming loans, and the Bank may require additional collateral or lower loan-to-value ratios to reduce the risk of these loans. The Bank believes that these loans satisfy a need in its local market area. As a result, subject to market conditions, the Bank intends to continue to originate these types of loans.

The retention of ARM loans in the Bank's loan portfolio helps reduce the Bank's exposure to changes in interest rates. There are, however, unquantifiable credit risks resulting from the potential of increased interest to be paid by the customer as a result of increases in interest rates. It is possible that during periods of rising interest rates, the risk of default on ARM loans may increase as a result of repricing and the increased costs to the borrower. The Bank attempts to reduce the potential for delinquencies and defaults on ARM loans by qualifying the borrower based on the borrower's ability to repay the ARM loan assuming a 2.0% increase in the initial interest rate. Another consideration is that although ARM loans allow the Bank to increase the sensitivity of its asset base due to changes in the interest rates, the extent of this interest sensitivity is limited by the periodic and lifetime interest rate adjustment limits. Because of these considerations, the Bank has no assurance that yield increases on ARM loans will be sufficient to offset increases in the Bank's cost of funds.

While fixed-rate, single-family residential mortgage loans are normally originated with 15 to 30 year terms to maturity, these loans typically remain outstanding for substantially shorter periods because borrowers often prepay their loans in full upon sale of the property pledged as security or upon refinancing the original loan. In addition, substantially all mortgage loans in the Bank's loan portfolio contain due-on-sale clauses providing that the Bank may declare the unpaid amount due and payable upon the sale of the property securing the loan. Typically, the Bank enforces these due-on-sale clauses to the extent permitted by law and as business judgment dictates. Thus, average loan maturity is a function of, among other factors, the level of purchase and sale activity in the real estate market, prevailing interest rates and the interest rates received on outstanding loans.

The Bank requires that fire and extended coverage casualty insurance, and flood insurance if appropriate, be maintained on the collateral for all of its real estate secured loans.

The Bank's lending policies generally limit the maximum loan-to-value ratio on mortgage loans secured by owner-occupied properties to 85% of the lesser of the appraised value or the purchase price. However, the Bank usually obtains private mortgage insurance ("PMI") on the portion of the principal amount that exceeds 80% of the appraised value of the security property. The maximum loan-to-value ratio on mortgage loans secured by non-owner-occupied properties is generally 80% (90% for loans originated for sale in the secondary market to Freddie Mac or the FHLB). At September 30, 2025, there was one

one- to four-family loan totaling \$1.78 million on non-accrual status. See “Lending Activities - Non-performing Loans and Delinquencies.”

Multi-Family Lending. At September 30, 2025, \$207.77 million, or 13.2%, of the Bank’s total loan portfolio was secured by multi-family dwelling units (more than four units) located primarily in the Bank’s primary market area. Multi-family loans are generally originated with variable rates of interest ranging from 1.00% to 3.50% over the one-year constant maturity U.S. Treasury Bill Index, the Prime Rate or a matched term FHLB borrowing, with principal and interest payments fully amortizing over terms of up to 30 years. At September 30, 2025, the Bank’s largest multi-family loan had an outstanding principal balance of \$10.22 million and was secured by an apartment complex located in Pierce County. At September 30, 2025, this loan was performing according to its repayment terms.

The maximum loan-to-value ratio for multi-family loans is generally limited to not more than 80%. The Bank generally requests its multi-family loan borrowers with loan balances in excess of \$750,000 to submit financial statements and rent rolls annually on the properties securing such loans. The Bank also inspects such properties annually. The Bank generally imposes a minimum debt coverage ratio of 1.20 for loans secured by multi-family properties.

Multi-family mortgage lending affords the Bank an opportunity to receive interest at rates higher than those generally available from one- to four- family residential lending. However, loans secured by multi-family properties usually are greater in amount, more difficult to evaluate and monitor and, therefore, may involve a greater degree of risk than one- to four-family residential mortgage loans. Because payments on loans secured by multi-family properties are often dependent on the successful operation and management of the properties, repayment of such loans may be affected by adverse conditions in the real estate market or the economy. The Bank seeks to minimize these risks by scrutinizing the financial condition of the borrower, the quality of the collateral and the management of the property securing the loan. If the borrower is other than an individual, the Bank also generally obtains personal guarantees from the principals (with ownership interests of 20% or more) based on a review of personal financial statements. At September 30, 2025, all multi-family loans were performing according to their repayment terms. See "Lending Activities - Non-performing Loans and Delinquencies."

Commercial Real Estate Lending. Commercial real estate loans totaled \$610.69 million, or 38.8%, of the total loan portfolio at September 30, 2025. The Bank originates commercial real estate loans generally at variable interest rates with principal and interest payments fully amortizing over terms of up to 30 years. These loans are secured by properties, such as industrial warehouses, medical/dental offices, office buildings, retail/wholesale facilities, mini-storage facilities, hotel/motels, nursing homes, restaurants, convenience stores, shopping centers and mobile home parks, generally located in the Bank’s primary market area. At September 30, 2025, the largest commercial real estate loan was secured by a medical office building in Thurston County, had a balance of \$7.41 million and was performing according to its repayment terms. At September 30, 2025, one commercial real estate loan of \$159,000 was on non-accrual status. See “Lending Activities - Non-performing Loans and Delinquencies.”

The Bank typically requires appraisals of properties securing commercial real estate loans. For loans that are less than \$250,000, the Bank may use an evaluation provided by a third-party vendor in lieu of an appraisal. Appraisals are performed by independent appraisers designated by the Bank. The Bank considers the quality and location of the real estate, the credit history of the borrower, the cash flow of the project and the quality of management involved with the property when making these loans. The Bank generally imposes a minimum debt coverage ratio of approximately 1.20 for loans secured by income producing commercial properties. Loan-to-value ratios on commercial real estate loans are generally limited to not more than 80%. If the borrower is other than an individual, the Bank also generally obtains personal guarantees from the principals (with ownership interests of 20% or more) based on a review of personal financial statements.

Commercial real estate lending affords the Bank an opportunity to receive interest at rates higher than those generally available from one- to four-family residential lending. However, loans secured by such properties usually are greater in amount, more difficult to evaluate and monitor and, therefore, involve a greater degree of risk than one- to four-family residential mortgage loans. Because payments on loans secured by commercial properties often depend upon the successful operation and management of the properties, repayment of these loans may be affected by adverse conditions in the real estate market or the economy. The Bank seeks to minimize these risks by generally limiting the maximum loan-to-value ratio to 80% and scrutinizing the financial condition of the borrower, the quality of the collateral and the management of the property securing the loan. The Bank also generally requests annual financial information and rent rolls on the subject property from the borrowers on loans over \$750,000.

Construction Lending. The Bank currently originates two types of residential construction loans: (i) custom and owner/builder construction loans and (ii) speculative construction loans. The Bank believes that its extensive experience in residential construction lending has allowed it to develop processing and disbursement procedures that address borrower needs while

mitigating many of the risks inherent in construction lending. The Bank also originates construction loans for commercial properties, multi-family properties, and land development projects.

The Bank's construction loans generally provide for interest-only payments during the construction phase, which are billed monthly. In some cases, however, borrower payments are not required during construction because accrued interest is added to the loan principal through the use of an interest reserve. At September 30, 2025, the Bank's construction loans totaled \$223.89 million, or 14.2% of the Bank's total loan portfolio, including undisbursed loans in process of \$88.29 million. At September 30, 2025, one construction loan of \$553,000 was on non-accrual. See "Lending Activities - Non-performing Loans and Delinquencies."

At September 30, 2025 and 2024, the composition of the Bank's construction loan portfolio was as follows:

	At September 30,			
	2025		2024	
	Balance	Percent of Total	Balance	Percent of Total
	(Dollars in thousands)			
Custom and owner/builder	\$ 130,341	58.22%	\$ 132,101	60.27%
Speculative one- to four-family	10,745	4.80	11,495	5.24
Commercial real estate	21,818	9.75	29,463	13.44
Multi-family	45,660	20.39	28,401	12.96
Land development	15,324	6.84	17,741	8.09
Total	\$ 223,888	100.00%	\$ 219,201	100.00%

Custom and owner/builder construction loans are originated to homeowners and are typically converted to or refinanced into permanent mortgage loans upon completion of construction. The construction phase generally lasts up to 12 months, with fixed-interest rates typically ranging from 4.88% to 9.00% and loan-to-value ratios of up to 80% (or up to 95% with PMI) of the appraised "as completed" value of the property. Upon completion of construction, these loans are either converted to or refinanced into a fixed-rate mortgage loan that conforms to secondary market standards, or into an adjustable-rate mortgage loan retained in the Bank's portfolio. At September 30, 2025, the largest outstanding custom and owner/builder construction loan had an outstanding balance of \$2.36 million (fully disbursed) and was performing according to its repayment terms.

Speculative one- to four-family construction loans are made to home builders and are termed "speculative" because the home builder does not have, at the time of loan origination, a signed contract with a home buyer who has a commitment for permanent financing. The home buyer may be identified either during or after the construction period, with the risk that the builder will have to debt service the speculative construction loan and pay real estate taxes and other carrying costs for a significant time after completion until the home buyer is identified and a sale is consummated. Rather than originating lines of credit to home builders to construct several homes at once, the Bank generally originates and underwrites a separate loan for each home. Speculative construction loans are generally originated for a term of 12 months, with current rates generally ranging from 8.00% to 9.25%, and with a loan-to-value ratio of no more than 80% of the appraised value of the completed property. At September 30, 2025, the largest aggregate outstanding balance to one borrower for speculative one- to four-family construction loans totaled \$1.50 million (including \$854,000 of undisbursed loans in process) and was comprised of two loans that were performing according to their repayment terms.

The Bank also provides construction financing for multi-family and commercial properties. At September 30, 2025, these loans totaled \$67.48 million, or 30.1%, of construction loan balances. These loans are typically secured by apartment buildings, condominiums, mini-storage facilities, office buildings, hotels and retail rental space predominantly located in the Bank's primary market area. At September 30, 2025, the largest outstanding multi-family construction loan was for \$11.40 million (including \$2.96 million of undisbursed loans in process) and secured by an apartment building project in Pierce County. At September 30, 2025, the largest outstanding commercial real estate construction loan was secured by a industrial warehouse facility in Thurston County, Washington and had a balance of \$4.50 million (including \$1.21 million of undisbursed loans in process). These loans were performing according to their repayment terms at September 30, 2025.

All construction loans must be approved by a member of one of the Bank's Loan Committees or the Bank's Board of Directors, or in the case of one- to four-family construction loans that meet Freddie Mac guidelines, by the Chief Residential Loan Manager, the Loan Department Supervisor or a Bank underwriter. See "Lending Activities - Loan Solicitation and Processing." Prior to approval of any construction loan application, an independent fee appraiser inspects the site and prepares an appraisal on an "as completed" basis, and the Bank reviews the existing or proposed improvements, identifies the market for the proposed project and analyzes the pro-forma data and assumptions. In the case of a speculative or custom construction loan, the Bank reviews the experience and expertise of the builder. After this preliminary review, the application is processed, which

includes obtaining credit reports, financial statements and tax returns or verification of income on the borrowers and guarantors, an independent appraisal of the project, and any other expert reports necessary to evaluate the proposed project. In the event of cost overruns, the Bank generally requires the borrower to provide additional funds by paying the cost of such overruns directly or by depositing its own funds into a secured savings account or, to the extent available, authorizes disbursements from a loan contingency line in the construction budget.

Loan disbursements during the construction period are made to the builder, materials supplier or subcontractor, based on a line item budget. Periodic on-site inspections are made by qualified independent inspectors to document the reasonableness of draw requests. For most builders, the Bank disburses loan funds by providing vouchers to borrowers, which when used by the borrower to purchase supplies are submitted by the supplier to the Bank for payment.

The Bank originates construction loan applications primarily through customer referrals, contacts in the business community and, occasionally, real estate brokers seeking financing for their clients.

Construction lending affords the Bank the opportunity to achieve higher interest rates and fees with shorter terms to maturity than its single-family permanent mortgage lending. Construction lending, however, is generally considered to involve a higher degree of risk than single-family permanent mortgage lending, because funds are advanced based on estimates of construction costs and the future value of the completed project. Because of the uncertainties inherent in estimating construction costs, as well as the market value of the completed project and the effects of governmental regulation on real property, it is relatively difficult to evaluate accurately the total funds required to complete a project and the completed project loan-to-value ratio. With regard to loans originated to builders for speculative projects, changes in demand for new housing and higher than anticipated building costs, may cause actual results to vary significantly from those estimated. A downturn in the housing or real estate market could increase loan delinquencies, defaults, and foreclosures, and significantly impair the value of our collateral and our ability to sell the collateral upon foreclosure. Some builders who have borrowed from us to fund construction projects on a speculative basis have more than one loan outstanding with us. Consequently, an adverse development with respect to one loan or one credit relationship can expose us to a significantly greater risk of loss.

In addition, during the term of many of our construction loans granted to builders who are building residential units for sale, no payment from the borrower is required since the accumulated interest is added to the principal of the loan through an interest reserve. As a result, these loans often involve the disbursement of funds with repayment substantially dependent on the success of the ultimate project and the ability of the borrower to sell or lease the property or obtain permanent take-out financing, rather than the ability of the borrower or guarantor to repay principal and interest. If our appraisal of the value of a completed project proves to be overstated, we may have inadequate security for the repayment of the loan upon completion of construction and may incur a loss. Because construction loans require active monitoring of the building process, including cost comparisons and on-site inspections, these loans are more difficult and costly to monitor. Increases in market rates of interest may have a more pronounced effect on construction loans by rapidly increasing the end-purchasers' borrowing costs, thereby reducing the overall demand for the project. Properties under construction are often difficult to sell and typically must be completed in order to be successfully sold, which also complicates the process of working out problem construction loans. This may require us to advance additional funds and/or contract with another builder to complete construction. Furthermore, in the case of speculative construction loans, there is an added risk associated with identifying an end-purchaser for the finished project.

The Bank historically originated loans to real estate developers with whom it had established relationships for the purpose of developing residential subdivisions (i.e., installing roads, sewers, water and other utilities) generally with ten to 50 lots. Currently, the Bank is originating land development loans on a limited basis. Land development loans are secured by a lien on the property and typically are made for a period of two to five years with fixed or variable interest rates, with loan-to-value ratios generally not exceeding 75%. Land development loans are generally structured so that the Bank is repaid in full upon the sale by the borrower of approximately 80% of the subdivision lots. In addition, the Bank also generally obtains personal guarantees from corporate principals (with ownership interests in the borrowing entity of 20% or more) and reviews their personal financial statements. Land development loans secured by land under development involve greater risks than one- to four-family residential mortgage loans, because these loan funds are advanced upon the predicted future value of the developed property upon completion. If the estimate of the future value proves to be inaccurate, in the event of default and foreclosure, the Bank may be confronted with a property the value of which is insufficient to assure full repayment. The Bank has historically attempted to minimize this risk by generally limiting the maximum loan-to-value ratio on land and land development loans to 75% of the estimated developed value of the secured property. At September 30, 2025 the largest land development loan was for \$11.55 million for a mixed-use development, one- to four-family units and multi-family, located in Thurston County. This loan was classified as substandard and was performing in accordance with its repayment terms at September 30, 2025. This loan paid off in full subsequent to September 30, 2025.

Land Lending. The Bank originates loans for the acquisition of land upon which the purchaser can then build or make improvements necessary to build or to use for recreational purposes. Land loans originated by the Bank generally have

maturities of one to ten years. The largest land loan is secured by land in Multnomah County, Oregon, had an outstanding balance of \$2.60 million and was performing according to its repayment terms at September 30, 2025. At September 30, 2025, all land loans were performing according to their repayment terms. See “Lending Activities - Non-performing Loans and Delinquencies.”

Loans secured by undeveloped land or improved lots involve greater risks than one- to four-family residential mortgage loans because these loans are more difficult to evaluate. If the estimate of value proves to be inaccurate, in the event of default and foreclosure, the Bank may be confronted with a property the value of which is insufficient to assure full repayment. Land loans also pose additional risk because of the lack of income being produced by the property and potential illiquid nature of the collateral. These risks can be significantly impacted by supply and demand conditions. The Bank attempts to minimize these risks by generally limiting the maximum loan-to-value ratio on land loans to 65%.

Consumer Lending. Consumer loans generally have shorter terms to maturity and may have higher interest rates than mortgage loans. Consumer loans include home equity lines of credit, second mortgage loans, savings account loans, automobile loans, boat loans, motorcycle loans, recreational vehicle loans and unsecured loans. Consumer loans are made with both fixed and variable interest rates and with varying terms.

Home equity lines of credit and second mortgage loans are made for purposes such as the improvement of residential properties, debt consolidation and education expenses, among others. The majority of these loans are made to existing customers and are secured by a first or second mortgage on residential property. The loan-to-value ratio is typically 90% or less, when considering both the first and second mortgage loans. Second mortgage loans typically carry fixed interest rates with a fixed payment over a term between five and 15 years. Home equity lines of credit are generally made at interest rates tied to the Prime Rate. Second mortgage loans and home equity lines of credit have greater credit risk than one- to four-family residential mortgage loans in which the Bank is in the first lien position, because they are generally secured by mortgages subordinated to the existing first mortgage on the property. For those second mortgage loans and home equity lines credit on which the Bank does not hold the existing first mortgage on the property, it is unlikely that the Bank will be successful in recovering all or a portion of the loan balance in the event of default unless the Bank is prepared to repay the first mortgage loan and such repayment and the costs associated with a foreclosure are justified by the value of the property.

Consumer loans generally carry greater risk than residential mortgage loans, especially when they are unsecured or secured by assets that depreciate quickly, such as automobiles. In such cases, repossessed collateral from a defaulted loan may not fully cover the outstanding balance due to depreciation, damage, or loss. Often, the remaining deficiency does not justify significant collection efforts beyond obtaining a deficiency judgment. Additionally, the repayment of consumer loans relies heavily on the borrower’s financial stability, making them more susceptible to disruptions caused by job loss, divorce, illness, or personal bankruptcy. Federal and state laws, including bankruptcy and insolvency regulations, can further limit recovery efforts on these loans. However, the Bank believes these risks are less pronounced in its consumer loan portfolio, as a significant portion consists of second mortgage loans and home equity lines of credit. These loans are underwritten to maintain credit risk comparable to one- to four-family residential mortgage loans. At September 30, 2025, five consumer loans totaling \$624,000 were on non-accrual status. One of these loans with a balance of \$302,000 was paid off subsequent to September 30, 2025. See “Lending Activities - Non-performing Loans and Delinquencies.”

Commercial Business Lending. Commercial business loans totaled \$127.00 million, or 8.1%, of the loan portfolio at September 30, 2025. Commercial business loans are generally secured by business equipment, accounts receivable, inventory and/or other property and are made at variable rates of interest equal to a negotiated margin above the Prime Rate. The Bank also generally obtains personal guarantees from the principals based on a review of personal financial statements. The largest commercial business loan had an outstanding balance of \$3.10 million at September 30, 2025 and was performing according to its repayment terms. At September 30, 2025, nine commercial business loans totaling \$1.29 million were on non-accrual status. See “Lending Activities - Non-performing Loans and Delinquencies.”

The Bank has increased commercial business loan originations made under the U.S. Small Business Administration (“SBA”) 7(a) program. Loans made by the Bank under the SBA 7(a) program generally are made to small businesses to provide working capital or to provide funding for the purchase of businesses, real estate, or equipment. These loans generally are secured by a combination of assets that may include equipment, receivables, inventory, business real property, and sometimes a lien on the personal residence of the borrower. The terms of these loans vary by purpose and type of underlying collateral. The loans are primarily underwritten on the basis of the borrower’s ability to service the loan from income. Under the SBA 7(a) program, the loans carry an SBA guaranty for up to 75% of the loan. Typical maturities for this type of loan vary but can be up to ten years. SBA 7(a) loans are all adjustable-rate loans based on the Prime Rate. Under the SBA 7(a) program, the Bank can sell in the secondary market the guaranteed portion of its SBA 7(a) loans and retain the related unguaranteed portion of these loans, as well as the servicing on such loans, for which it is paid a fee. The loan servicing spread is generally a minimum of 1.00% on all SBA 7(a) loans. The Bank generally offers SBA 7(a) loans within a range of \$50,000 to \$1.50 million.

Commercial business lending generally involves greater risk than residential mortgage lending and involves risks that are different from those associated with residential and commercial real estate lending. Real estate lending is generally considered to be collateral based lending with loan amounts based on predetermined loan to collateral values, and liquidation of the underlying real estate collateral is viewed as the primary source of repayment in the event of borrower default. Although commercial business loans are often collateralized by equipment, inventory, accounts receivable and/or other business assets, the liquidation of collateral in the event of a borrower default is often an insufficient source of repayment because accounts receivable may be uncollectible and inventories and equipment may be obsolete or of limited use, among other things. Accordingly, the repayment of a commercial business loan depends primarily on the creditworthiness of the borrower (and any guarantors), while liquidation of collateral is a secondary and often insufficient source of repayment.

Loan Maturity. The following table sets forth certain information at September 30, 2025 regarding the dollar amount of loans maturing in the Bank's portfolio based on their contractual terms to maturity but does not include potential prepayments. Loans having no stated maturity and overdrafts are reported as due in one year or less.

	Within 1 Year	After 1 Year Through 5 Years	After 5 Years Through 15 Years	After 15 Years	Total
(Dollars in thousands)					
Mortgage loans:					
One- to four-family	\$ 6,088	\$ 24,978	\$ 67,733	\$ 218,892	\$ 317,691
Multi-family	3,642	79,162	124,904	59	207,767
Commercial	19,459	249,631	339,723	1,879	610,692
Construction (1)	223,888	—	—	—	223,888
Land	17,169	15,519	2,908	356	35,952
Consumer loans:					
Home equity and second mortgage	4,243	12,766	32,981	489	50,479
Other	532	512	292	698	2,034
Commercial business	9,887	65,793	37,086	14,171	126,937
SBA PPP	58	—	—	—	58
Total	\$ 284,966	\$ 448,361	\$ 605,627	\$ 236,544	1,575,498
Less:					
Undisbursed portion of construction loans in process					(88,289)
Deferred loan origination fees, net					(5,528)
ACL					(18,091)
Total loans receivable, net					\$ 1,463,590

(1) Includes \$130.34 million of custom and owner/building construction/permanent loans, a portion of which may convert to permanent mortgage loans once construction is completed.

The following table sets forth the dollar amount of all loans due after one year from September 30, 2025, which have fixed interest rates and floating or adjustable interest rates:

	Fixed Rates	Floating or Adjustable Rates	Total
	(Dollars in thousands)		
Mortgage loans:			
One- to four-family	\$ 109,785	\$ 201,818	\$ 311,603
Multi-family	57,341	146,784	204,125
Commercial	204,483	386,750	591,233
Land	15,690	3,093	18,783
Consumer loans:			
Home equity and second mortgage	13,840	32,396	46,236
Other	1,300	202	1,502
Commercial business	75,427	41,623	117,050
Total	\$ 477,866	\$ 812,666	\$ 1,290,532

Scheduled contractual principal repayments of loans do not reflect the actual life of these assets. The average life of loans is substantially less than their contractual terms because of prepayments. In addition, due-on-sale clauses on loans generally give the Bank the right to declare loans immediately due and payable in the event, among other things, that the borrower sells the real property subject to the mortgage and the loan is not repaid. The average life of mortgage loans tends to increase when current mortgage loan interest rates are substantially higher than interest rates on existing mortgage loans and, conversely, decrease when interest rates on existing mortgage loans are substantially higher than current mortgage loan interest rates.

Loan Solicitation and Processing. Loan originations are obtained from a variety of sources, including walk-in customers and referrals from builders and realtors. Upon receipt of a loan application from a prospective borrower, a credit report and other data are obtained to verify specific information relating to the loan applicant's employment, income and credit standing. An appraisal of the real estate offered as collateral generally is undertaken by a certified appraiser retained by the Bank.

Loan applications are initiated by loan officers and must be approved by an authorized loan officer, Bank underwriter, the Bank's Loan Committees, or the Bank's Board of Directors. The Bank's Consumer Loan Committee consists of underwriters who can approve one- to four-family mortgage loans and other consumer loans up to the current Freddie Mac single-family limit. Loan officers may be granted individual approval authority for loans up to \$250,000 on a case-by-case basis by the Bank's Chief Credit Officer or Chief Executive Officer.

Construction loans must be approved by a member of one of the Bank's Loan Committees or the Bank's Board of Directors. For one- to four-family construction loans meeting Freddie Mac guidelines, approval may be granted by the Chief Residential Loan Manager, the Loan Department Supervisor, or a Bank underwriter, subject to their individual or Loan Committee limits. The Bank's Commercial Loan Committee, composed of the Bank's Chief Executive Officer, Chief Credit Officer, Chief Lending Officer, and a commercial underwriter may approve commercial real estate and business loans up to \$3.00 million.

The Bank's Chief Executive Officer, Chief Credit Officer, and Chief Lending Officer have individual authority to approve loans up to \$750,000. The Bank's Board Loan Committee, which includes one permanent non-employee Director, one rotating non-employee Director, and the Bank's Chief Executive Officer, may approve loans up to \$5.00 million. Loans exceeding \$5.00 million, as well as loans of any amount that cause a single borrower's total loans to exceed \$5.00 million, must be approved by the Bank's Board of Directors.

Loan Originations, Purchases and Sales. During the years ended September 30, 2025, 2024 and 2023, the Bank's total gross loan originations were \$310.90 million, \$251.44 million and \$361.79 million, respectively. Periodically, the Bank purchases loan participation interests in construction, commercial real estate and multi-family loans, secured by properties generally located in Washington State, from other banks. These participation loans are underwritten in accordance with the Bank's underwriting guidelines and are without recourse to the seller other than for fraud. During the years ended September 30, 2025, 2024 and 2023, the Bank did not purchase any loans or loan participation interests.

Consistent with its asset/liability management strategy, the Bank's policy generally is to retain in its portfolio all ARM loans originated and to sell fixed-rate one- to four-family mortgage loans in the secondary market to Freddie Mac; however, from time to time, a portion of fixed-rate loans may be retained in the Bank's portfolio to meet its asset-liability objectives. The Bank also sells the guaranteed portion of some of its SBA 7(a) loans in the secondary market. Loans sold in the secondary market are generally sold on a servicing retained basis. At September 30, 2025, the Bank's loan servicing portfolio, which is not included in the Company's consolidated financial statements, totaled \$357.02 million.

The Bank also periodically sells participation interests in construction loans, commercial real estate loans, multi-family and commercial business loans to other lenders. These sales are usually made to avoid concentrations in a particular loan type or borrower, and to generate fee income. The Bank did not sell loan participation interests during the years ended September 30, 2025 and 2023. During the year ended September 30, 2024, the Bank sold loan participation interests of \$5.80 million.

The following table shows total loans originated, purchased, sold and repaid during the years indicated.

	Year Ended September 30,		
	2025	2024	2023
	(Dollars in thousands)		
Loans originated:			
Mortgage loans:			
One- to four-family	\$ 37,600	\$ 30,131	\$ 45,825
Multi-family	16,362	13,287	11,158
Commercial	50,886	26,836	70,117
Construction	145,764	122,939	174,914
Land	13,871	10,843	7,144
Consumer	23,784	20,647	24,160
Commercial business loans	22,635	26,755	28,470
Total loans originated	310,902	251,438	361,788
Loans and loan participations purchased:			
Total loans and loan participations purchased	—	—	—
Total loans originated, acquired and purchased	310,902	251,438	361,788
Loans sold:			
Loan participation interests sold	—	(5,800)	—
Whole loans sold	(22,601)	(14,746)	(11,538)
Total loans sold	(22,601)	(20,546)	(11,538)
Loan principal repayments	(227,107)	(142,783)	(177,310)
Other items, net	(19,127)	31,109	(3,061)
Net increase in loans receivable	\$ 42,067	\$ 119,218	\$ 169,879

Loan Origination Fees. The Bank receives loan origination fees on many of its mortgage loans and commercial business loans. Loan fees are a percentage of the loan which are charged to the borrower for funding the loan. The amount of fees charged by the Bank is generally up to 2.0% of the loan amount.

Accounting principles generally accepted in the United States of America ("GAAP") require fees received and certain loan origination costs for originating loans to be deferred and amortized into interest income over the contractual life of the loan. Net deferred fees or costs associated with loans that are prepaid are recognized as income/expense at the time of prepayment. Unamortized net deferred loan origination fees totaled \$5.53 million at September 30, 2025.

Non-performing Loans and Delinquencies. The Bank assesses late fees or penalty charges on delinquent loans of approximately 5% of the monthly loan payment amount. A majority of loan payments are due on the first day of the month; however, the borrower is given a 15-day grace period to make the loan payment. When a mortgage loan borrower fails to make a required payment when due, the Bank institutes collection procedures. A notice is mailed to the borrower 16 days after the date the payment was due. Attempts to contact the borrower by telephone generally begin on or before the 30th day of delinquency. If a satisfactory response is not obtained, continuous follow-up contacts are attempted until the loan has been brought current. Before the 90th day of delinquency, attempts are made to establish (i) the cause of the delinquency, (ii) whether the cause is temporary, (iii) the attitude of the borrower toward repaying the debt, and (iv) a mutually satisfactory arrangement for curing the default.

If the borrower is chronically delinquent and all reasonable means of obtaining payment on time have been exhausted, foreclosure is initiated according to the terms of the security instrument and applicable law. Interest income on loans in foreclosure is reduced by the full amount of accrued and uncollected interest.

When a consumer loan borrower or commercial business borrower fails to make a required payment on a loan by the payment due date, the Bank institutes similar collection procedures as for its mortgage loan borrowers. All loans becoming 90 days or more past due are placed on non-accrual status, with any accrued interest reversed against interest income, unless they are well secured and in the process of collection.

The Bank's Board of Directors is updated monthly as to the status of loans that are delinquent by more than 30 days and the status of all foreclosed and repossessed property owned by the Bank.

The following table sets forth information with respect to the Company's non-performing assets at the dates indicated:

	At September 30,		
	2025	2024	2023
(Dollars in thousands)			
Loans accounted for on a non-accrual basis:			
Mortgage loans:			
One- to four-family (1)	\$ 1,781	\$ 49	\$ 368
Commercial	159	1,158	683
Construction	553	—	—
Consumer loans	624	618	177
Commercial business loans	1,290	2,060	286
Total	4,407	3,885	1,514
Accruing loans which are contractually past due 90 days or more	—	—	—
Total of non-accrual and 90 days or more past due loans	4,407	3,885	1,514
Non-accrual investment securities	35	51	82
Other real estate owned and other repossessed assets	221	—	—
Total non-performing assets (2)	\$ 4,663	\$ 3,936	\$ 1,596
Troubled debt restructured loans on accrual status	N/A	N/A	\$ 2,495
Non-accrual and 90 days or more past due loans as a percentage of loans receivable, net (3)	0.30%	0.27%	0.11%
Non-accrual and 90 days or more past due loans as a percentage of total assets	0.22%	0.20%	0.08%
Non-performing assets as a percentage of total assets	0.23%	0.20%	0.09%
Loans receivable, net (3)	\$ 1,481,681	\$ 1,439,001	\$ 1,318,122
Total assets	\$ 2,012,779	\$ 1,923,475	\$ 1,839,905

(1) Includes non-accrual one- to four-family properties in the process of foreclosure totaling \$302, \$0, and \$0 as of September 30, 2025, 2024, and 2023, respectively.

(2) For the year ended September 30, 2023, does not include troubled debt restructured loans on accrual status.

(3) Loans receivable, net for purposes of this table includes the deductions for the undisbursed portion of construction loans in process and deferred loan origination fees and does not include the deduction for the ACL.

Non-accrual Loans. The Bank's non-accrual loans increased by \$522,000 to \$4.41 million at September 30, 2025 from \$3.89 million at September 30, 2024, primarily due to increases of \$1.73 million in one- to four-family loans and \$6,000 in consumer loans, partially offset by decreases of \$999,000 in commercial real estate loans and \$770,000 in commercial business loans.

The Bank evaluates each loan on a case-by-case basis when determining non-accrual status, considering factors such as the borrower's financial strength, collateral value, payment history, reason for delay, the amount past due, and the number days past due. A discussion of the Bank's largest non-performing loans is set forth below under "Asset Classification." For additional information on non-accrual loans, see "Note 1 - Summary of Significant Accounting Policies" and "Note 4 - Loans Receivable and Allowance for Credit Losses" of the Notes to the Consolidated Financial Statements contained in Item 8 of this report.

Other Real Estate Owned and Other Repossessed Assets. Real estate acquired by the Bank as a result of foreclosure or by deed-in-lieu of foreclosure is classified as other real estate owned ("OREO") until sold. When property is acquired, it is recorded at the estimated fair market value less estimated costs to sell.

Restructured Loans. On October 1, 2023, the Company adopted ASU No. 2022-02, Financial Instruments - Credit Losses (ASU 2016-13). This ASU eliminated the accounting guidance for troubled debt restructured loans ("TDR") for creditors, while enhancing disclosure requirements for certain loan refinancing and restructurings by creditors when a borrower experiences

financial difficulty. Two loans to borrowers experiencing financial difficulties were modified in the year ended September 30, 2025. No loans to borrowers experiencing financial difficulty were modified in the years ended September 30, 2024 and 2023. The Bank had TDRs at September 30, 2023 totaling \$2.50 million, none of which were on non-accrual status. None of the ACL was allocated to TDRs at September 30, 2023.

Asset Classification. Applicable regulations require that each insured institution review and classify its assets on a regular basis. In addition, in connection with examinations of insured institutions, regulatory examiners have authority to identify problem assets and, if appropriate, require them to be classified. There are three classifications for problem assets: substandard, doubtful and loss. Substandard loans are classified as those loans that are inadequately protected by the current net worth and paying capacity of the obligor, or of the collateral pledged. Assets classified as substandard have a well-defined weakness or weaknesses that jeopardize the repayment of the debt. If the weakness or weaknesses are not corrected, there is the distinct possibility that some loss will be sustained. Doubtful assets have the weaknesses of substandard assets with the additional characteristic that the weaknesses make collection or liquidation in full on the basis of currently existing facts, conditions and values questionable, and there is a high possibility of loss. An asset classified as loss is considered uncollectible and of such little value that continuance as an asset of the Bank is not warranted. When the Bank classifies problem assets as either substandard or doubtful, it is required to establish an ACL in an amount deemed prudent by management. These allowances represent loss allowances which have been established to recognize the inherent risk associated with lending activities and the risks associated with problem assets. When the Bank classifies problem assets as loss, it charges off the balance of the asset against the ACL. Assets which do not currently expose the Bank to sufficient risk to warrant classification in one of the aforementioned categories but possess weaknesses are designated by the Bank as special mention. Special mention loans are defined as those credits deemed by management to have some potential weakness that deserve management's close attention. If left uncorrected, these potential weaknesses may result in the deterioration of the payment prospects of the loan. Assets in this category are not adversely classified and currently do not expose the Bank to sufficient risk to warrant a substandard classification. The Bank's determination of the classification of its assets and the amount of its ACL is subject to review by the FDIC and the DFI which can require a different classification and the establishment of additional loss allowances.

The aggregate amounts of the Bank's classified and special mention loans (as determined by the Bank), and the ACL at the dates indicated, were as follows:

	At September 30,		
	2025	2024	2023
	(Dollars in thousands)		
Loss	\$ —	\$ —	\$ —
Doubtful	202	202	—
Substandard (1)	32,805	8,435	6,386
Special mention	5,570	4,401	—
Total classified and special mention loans	\$ 38,577	\$ 13,038	\$ 6,386
ACL	\$ 18,091	\$ 17,478	\$ 15,817

(1) Includes non-performing loans.

Loans classified as substandard increased by \$24.37 million to \$32.81 million at September 30, 2025 from \$8.44 million at September 30, 2024. At September 30, 2025, 23 loans were classified as substandard, of which \$4.20 million were on non-accrual status. The largest substandard loan, with a balance of \$11.55 million, was secured by a land development property in Thurston County. This loan was not on non-accrual status as it was current and adequately collateralized at September 30, 2025, and was paid in full in October 2025. The second largest substandard loan had a balance of \$9.66 million, secured by an apartment property in Thurston County, and was also current and adequately collateralized. One commercial business loan of \$202,000 was classified as doubtful at September 30, 2025 and 2024; the unguaranteed portion has been charged off and the remaining balance is expected to be recovered under the SBA guarantee. Six loans were classified as special mention at September 30, 2025, all of which were performing in accordance with their repayment terms. At September 30, 2024, two commercial real estate loans were classified as special mention and were performing according to terms.

Allowance for Credit Losses. The ACL is maintained to absorb expected losses inherent in the loan portfolio. The Bank adopted the new accounting standard for the ACL, commonly referred to as the CECL methodology, as of October 1, 2023. The ACL is an estimate of the expected credit losses on financial assets measured at amortized cost. The ACL is evaluated and calculated on a collective basis for those loans which share similar risk characteristics. For loans that do not share similar risk characteristics and cannot be evaluated on a collective basis, the Company will evaluate the loan individually. The Bank estimates the expected credit losses over the loans' contractual terms, adjusted for expected prepayments. Management has adopted the discounted cash flow ("DCF") methodology for all loan segments.

Management's evaluation of the ACL is based on ongoing assessments of the known and inherent risks in the loan portfolio. Loss factors are based on the Company's historical loss experience with additional consideration and adjustments made for changes in economic conditions, changes in the amount and composition of the loan portfolio, delinquency rates, changes in collateral values, seasoning of the loan portfolio, duration of the business cycle, a detailed analysis of individually evaluated loans and other factors as deemed appropriate. Management also assesses the risk related to reasonable and supportable forecasts that are used. These factors are evaluated at least quarterly. Loss rates used by the Bank are affected as changes in these factors increase or decrease.

In originating loans, the Bank recognizes that losses will be experienced and that the risk of loss will vary with, among other things, the type of loan being made, the creditworthiness of the borrower over the term of the loan, general economic conditions and, in the case of a secured loan, the quality of the security for the loan. The Bank increases its ACL by charging provisions for credit losses against the Bank's operating income.

The Board of Directors reviews the adequacy of the ACL at least quarterly based on management's assessment of current economic conditions, past loss and collection experience, and risk characteristics of the loan portfolio.

The Bank's ACL as a percentage of total loans receivable and as a percentage of non-performing loans was 1.22% and 410.51%, at September 30, 2025 and 1.21% and 449.88%, at September 30, 2024, respectively.

Based on its comprehensive analysis, management believes that the amount maintained in the ACL is adequate to absorb expected losses inherent in the portfolio. Although management believes that it uses the best information available to make its determinations, future adjustments to the ACL may be necessary, and results of operations could be significantly and adversely affected if circumstances differ substantially from the assumptions used in making the determinations.

While the Bank believes that it has established its existing ACL in accordance with GAAP, there can be no assurance that regulators, in reviewing the Bank's loan portfolio, will not request the Bank to increase significantly its ACL. In addition, because future events affecting borrowers and collateral cannot be predicted with certainty, there can be no assurance that the existing ACL is adequate or that substantial increases will not be necessary should the quality of any loans deteriorate. A further decline in national and local economic conditions, as a result of the effects of inflation, a recession or slowing economic growth, among other factors could result in a material increase in the ACL which may adversely affect the Company's financial condition and results of operations.

For further explanation of the CECL model, ACL calculation and the effects of adoption of the new accounting standards see "Note 1 - Summary of Significant Accounting Policies" of the Notes to the Consolidated Financial Statements in Item 8 of this report.

Credit Ratios

The following table sets forth the ratios between the ACL, non-accrual loans and total loans at the dates indicated:

	At September 30,		
	2025	2024	2023
	(Dollars in thousands)		
ACL (1)	\$ 18,091	\$ 17,478	\$ 15,817
Non-accrual loans	\$ 4,407	\$ 3,885	\$ 1,514
Loans receivable, net (2)	\$ 1,481,681	\$ 1,439,001	\$ 1,318,122
ACL to loans receivable, net	1.22 %	1.21 %	1.20 %
Non-accrual loans to loans receivable, net	0.30 %	0.27 %	0.11 %
ACL to non-accrual loans	410.51 %	449.88 %	1044.72 %

- (1) Amounts for fiscal 2025 and 2024 were calculated using the CECL methodology to determine the ACL. Amounts reported prior to October 1, 2023, were based on the previous incurred loss methodology, which is not directly comparable to the ACL calculated under the CECL methodology.
- (2) Loans receivable, net for this table includes the deductions for the undisbursed portion of construction loans in process and net deferred loan origination fees and does not include the deduction for the ACL/allowance for loan losses.

The following table sets forth the ACL by loan category at the dates indicated:

	At September 30,					
	2025		2024		2023	
	Amount	Percent of Loans in Category to Total Loans	Amount	Percent of Loans in Category to Total Loans	Amount	Percent of Loans in Category to Total Loans
(Dollars in thousands)						
Mortgage loans:						
One- to four-family	\$ 2,892	20.16%	\$ 2,632	19.75%	\$ 2,417	17.75%
Multi-family	1,625	13.19	1,308	11.71	1,156	8.91
Commercial	7,147	38.76	6,934	39.57	7,209	39.84
Construction - custom and owner/builder	1,268	8.27	1,328	8.72	750	9.09
Construction - speculative one- to four-family	112	0.69	128	0.76	148	1.20
Construction - commercial	348	1.38	537	1.95	316	3.58
Construction - multi-family	400	2.90	456	1.88	602	4.01
Construction - land development	412	0.98	335	1.17	274	1.32
Land	797	2.28	793	1.94	406	1.87
Non-mortgage loans:						
Consumer loans	493	3.33	387	3.37	572	2.88
Commercial business loans	2,597	8.06	2,640	9.18	1,967	9.55
Total ACL (1)	\$ 18,091	100.00%	\$ 17,478	100.00%	\$ 15,817	100.00%

- (1) Amounts for fiscal 2025 and 2024 were calculated using the CECL methodology to determine the ACL. Amounts reported prior to October 1, 2023, were based on the previous incurred loss methodology, which is not directly comparable to the ACL calculated under the CECL methodology.

Analysis of ACL

The table below sets forth the ratio of net charge-offs during the period to average loans outstanding during the period:

September 30,									
2025		2024		2023					
(Net Charge-offs) Recoveries	Average Loans	(Net Charge-Offs) Recoveries to Average Loans	(Net Charge-offs) Recoveries	Average Loans	(Net Charge-offs) Recoveries to Average Loans	(Net Charge-Offs) Recoveries to Average Loans			
(Dollars in thousands)									
Mortgage Loans:									
\$	—	\$ 312,582	— %	\$ 43	\$ 276,864	0.02 %	\$ —	\$ 215,854	— %
	—	186,440	—	—	162,071	—	—	104,926	—
	—	603,503	—	—	581,912	—	—	547,924	—
	—	116,540	—	—	130,202	—	—	151,149	—
	—	47,670	—	—	45,984	—	—	39,147	—
Total mortgage loans		—	1,266,735	—	43	1,197,033	0.02	—	1,059,000
Consumer Loans:									
	—	48,386	—	—	42,324	—	—	37,550	—
	(5)	2,513	(0.20)	(9)	3,005	(0.30)	(3)	2,434	(0.12)
Total consumer loans		(5)	50,899	(9)	45,329	(0.30)	(3)	39,984	(0.12)
Commercial Loans:									
	(235)	131,169	(0.18)	(88)	137,167	(0.06)	(15)	131,117	(0.01)
\$	(240)	\$ 1,448,803	(0.02)%	(54)	\$ 1,379,529	— %	(18)	\$ 1,230,101	— %

Investment Activities

The investment policies of the Bank are established and monitored by the Board of Directors. The policies are designed primarily to provide and maintain liquidity, to generate a favorable return on investments without incurring undue interest rate and credit risk, and to compliment the Bank's lending activities. These policies dictate the criteria for classifying investments in debt securities as either available for sale or held to maturity. The policies permit investment in various types of liquid assets permissible under applicable regulations, which include U.S. Treasury obligations, securities of various federal agencies, certificates of deposit of insured banks, federal funds, mortgage-backed securities, municipal bonds and mutual funds. The Company's investment policy also permits investment in equity securities in certain financial service companies.

The investment securities that the Company has the positive intent and ability to hold to maturity are classified as held to maturity and reported at amortized cost. Investment securities classified as available for sale are reported at fair value, with unrealized gains and losses excluded from earnings and reported in other comprehensive income (loss), net of income tax. At September 30, 2025, the Bank's investment portfolio totaled \$215.10 million, consisting of \$69.65 million of U.S. Treasury and U.S. government agency securities held to maturity, \$66.11 million of mortgage-backed securities held to maturity, \$605,000 of municipal securities held to maturity, \$499,000 of bank issued trust preferred securities held to maturity, \$4.97 million of U.S. government agency securities available for sale and \$73.27 million of mortgage-backed securities available for sale. The Bank does not maintain a trading account for any investments. This compares with a total investment portfolio of \$244.35 million at September 30, 2024, consisting of \$92.31 million of U.S. Treasury and U.S. government agency securities held to maturity, \$77.96 million of mortgage-backed securities held to maturity, \$1.33 million of municipal securities held to maturity, \$495,000 of bank issued trust preferred securities held to maturity, \$3.94 million of U.S. government agency securities available for sale and \$68.32 million of mortgage-backed securities available for sale.

The following table sets forth the maturities and weighted average yields of the investment securities in the Bank's portfolio at September 30, 2025.

	One Year or Less		After One to Five Years		After Five to Ten Years		After Ten Years	
	Amount	Yield (2)	Amount	Yield (2)	Amount	Yield (2)	Amount	Yield (2)
(Dollars in thousands)								
Held to Maturity:								
U.S. Treasury and U.S. government agency securities (1)	\$ 22,890	2.53 %	\$ 46,756	1.22 %	\$ —	— %	\$ —	— %
Mortgage-backed securities (1)	657	1.92	9,627	3.78	134	6.90	55,693	3.98
Municipal securities (1)	605	5.70	—	—	—	—	—	—
Bank issued trust preferred securities (1)	—	—	499	8.98	—	—	—	—
Available for Sale:								
U.S. Treasury and U.S. government agency securities (1)	4,968	4.16 %	—	—	—	—	—	—
Mortgage-backed securities (1)	2,124	4.98 %	3,772	4.85	193	5.46	67,183	4.76
Total portfolio (1)	\$ 31,244	3.00%	\$ 60,654	1.92%	\$ 327	6.05%	\$122,876	4.41%

- (1) Held to maturity investment securities are shown at amortized cost and available for sale investment securities are shown at estimated fair market value.
- (2) The weighted average yields are calculated by multiplying each amortized cost value by its yield and dividing the sum of these results by the total amortized cost values. Yields on tax-exempt investments are not calculated on a fully tax equivalent basis.

For additional information regarding investment securities, see "Item 1A. Risk Factors – Our investment securities portfolio may be negatively impacted by fluctuations in market value and interest rates and result in losses" and "Note 3-Investment Securities" of the Notes to the Consolidated Financial Statements contained in Item 8 of this report.

Deposit Activities and Other Sources of Funds

General. Deposits and loan repayments are the major sources of the Bank's funds for lending and other investment purposes. Scheduled loan repayments are a relatively stable source of funds, while deposit inflows and outflows and loan prepayments are influenced significantly by general interest rates and money market conditions. Borrowings through the FHLB and the Federal Reserve Bank of San Francisco ("FRB") may be used to compensate for reductions in the availability of funds from other sources.

Deposit Accounts. Substantially all the Bank's depositors (excluding brokered deposits) are residents of Washington. Deposits are attracted from within the Bank's market area through the offering of a broad selection of deposit instruments, including money market deposit accounts, checking accounts, regular savings accounts and certificates of deposit. Deposit account terms vary, according to the minimum balance required, the time periods the funds must remain on deposit and the interest rate, among other factors. In determining the terms of its deposit accounts, the Bank considers current market interest rates and profitability to the Bank, matching deposit and loan products and its customer preferences and concerns. The Bank actively seeks consumer and commercial checking accounts through checking account acquisition marketing programs.

The Bank maintains checking accounts owned by businesses associated with the cannabis industry (or Initiative-502) in Washington State. The Bank generally services these accounts in compliance with applicable federal and state regulatory guidance and monitors associated regulatory and compliance risks. At September 30, 2025, the Bank had \$14.76 million, or 0.9% of total deposits, from businesses associated with the cannabis industry. See "Item 1A. Risk Factors" - We operate in a highly regulated environment and may be adversely affected by changes in federal and state laws and regulations that could increase our costs of operations.

At September 30, 2025, the Bank's deposits included \$142.81 million of jumbo certificates of deposit of \$250,000 or more, \$68.90 million in reciprocal negotiable order of withdrawal NOW checking deposits, \$18.59 million in reciprocal money market deposits, and \$43.11 million in brokered certificates of deposit. Jumbo certificates of deposit represented 8.3% of total deposits at September 30, 2025, and the Bank believes they present similar interest rate risks as compared to its other deposits.

The following table sets forth information concerning the Bank's deposits at September 30, 2025:

Deposit Category	Amount	Percentage of Total Deposits
	(Dollars in thousands)	
Non-interest bearing demand	\$ 430,685	25.09%
NOW	345,599	20.13
Savings	201,678	11.75
Money market	296,152	17.25
Subtotal	1,274,114	74.22
Certificates of Deposit (1)		
Maturing within 1 year	406,987	23.71
Maturing after 1 year but within 2 years	28,114	1.64
Maturing after 2 years but within 5 years	6,786	0.40
Maturing after 5 years	634	0.03
Total certificates of deposit	442,521	25.78
Total deposits	\$ 1,716,635	100.00%

(1) Based on remaining maturity of certificates.

The following table indicates the amount of the Bank's jumbo certificates of deposit by time remaining until maturity as of September 30, 2025. Jumbo certificates of deposit have principal balances of \$250,000 or more, and the rates paid on these accounts are generally negotiable.

Maturity Period	Amount (Dollars in thousands)
Three months or less	\$ 69,523
Over three through six months	45,894
Over six through twelve months	24,533
Over twelve months	2,863
Total	\$ 142,813

As of September 30, 2025, 2024 and 2023 approximately \$491.19 million, \$471.08 million and \$407.61 million, respectively, of the Bank's deposit portfolio was uninsured. These amounts are estimates based on methodologies and assumptions used for regulatory reporting purposes. The Bank is an approved public funds deposit institution in Washington, where applicable laws require public funds to be secured by qualified investment securities. As of September 30, 2025, \$154.67 million of the Bank's uninsured deposits were public funds, all of which were fully secured by qualified investment securities.

The following table sets forth the portion of our time deposits that are in excess of the FDIC insurance limit, by remaining time until maturity, as of September 30, 2025 (dollars in thousands).

Maturity Period	Amount (Dollars in thousands)
Three months or less	\$ 33,523
Over three through six months	32,144
Over six through twelve months	10,533
Over twelve months	1,113
Total	\$ 77,313

Deposit Flow. The following table sets forth the balances of deposits in the various types of accounts offered by the Bank at the dates indicated:

	At September 30,							
	2025			2024			2023	
	Amount	Percent of Total	Increase (Decrease)	Amount	Percent of Total	Increase (Decrease)	Amount	Percent of Total
	(Dollars in thousands)							
Non-interest-bearing demand	\$ 430,685	25.09%	\$ 17,569	\$ 413,116	25.07%	\$ (42,748)	\$ 455,864	29.21%
NOW checking	345,599	20.13	12,270	333,329	20.23	(53,401)	386,730	24.78
Savings	201,678	11.75	(4,315)	205,993	12.50	(22,373)	228,366	14.63
Money market	296,152	17.25	(30,770)	326,922	19.84	137,047	189,875	12.16
Certificates of deposit which mature:								
Within 1 year	406,987	23.71	93,164	313,823	19.05	62,086	251,737	16.13
After 1 year, but within 2 years	28,114	1.64	3,470	24,644	1.50	6,324	18,320	1.17
After 2 years, but within 5 years	6,786	0.40	(22,422)	29,208	1.77	(821)	30,029	1.92
Certificates maturing thereafter	634	0.03	1	633	0.04	619	14	—
Total	\$1,716,635	100.00%	\$ 68,967	\$1,647,668	100.00%	\$ 86,733	\$1,560,935	100.00%

Certificates of Deposit by Rates. The following table sets forth the certificates of deposit in the Bank classified by rates as of the dates indicated:

	At September 30,		
	2025	2024	2023
	(Dollars in thousands)		
0.00 - 1.99%	\$ 2,805	\$ 7,088	\$ 16,677
2.00 - 3.99%	110,235	75,091	92,698
4.00 - 5.99%	329,481	286,129	190,725
Total	\$ 442,521	\$ 368,308	\$ 300,100

Certificates of Deposit by Maturities. The following table sets forth the amount and maturities of certificates of deposit by rate at September 30, 2025:

	Amount Due			
	Less Than One Year	One to Two Years	After Two to Five Years	After Five Years
	(Dollars in thousands)			
0.00 - 1.99%	\$ 1,505	\$ 1,299	\$ 1	\$ —
2.00 - 3.99%	81,527	21,923	6,785	—
4.00 - 5.99%	323,955	4,892	—	634
Total	\$ 406,987	\$ 28,114	\$ 6,786	\$ 634

Deposit Activities. The following table sets forth the deposit activities of the Bank for the years indicated:

	Year Ended September 30,		
	2025	2024	2023
	(Dollars in thousands)		
Beginning balance	\$ 1,647,668	\$ 1,560,935	\$ 1,632,176
Net deposits (withdrawals) before interest credited	37,695	57,074	(82,543)
Interest credited	31,272	29,659	11,302
Net increase (decrease) in deposits	68,967	86,733	(71,241)
Ending balance	\$ 1,716,635	\$ 1,647,668	\$ 1,560,935

For additional information regarding our deposits, see "Note 10 - Deposits" of the Notes to Consolidated Financial Statements contained in Item 8 of this report.

Borrowings. The Bank may use borrowings from the FHLB to supplement its supply of lendable funds and to meet deposit withdrawal requirements. The FHLB functions as a central reserve bank providing credit for member financial institutions. As a member of the FHLB, the Bank is required to own capital stock in the FHLB and is authorized to apply for borrowings on the security of such stock and certain mortgage loans and other assets (principally securities which are obligations of, or guaranteed by, the U.S. government) provided certain creditworthiness standards have been met. Borrowings are made pursuant to several different credit programs. Each credit program has its own interest rate and range of maturities. Depending on the program, limitations on the amount of borrowings are based on the financial condition of the member institution and the adequacy of collateral pledged to secure the credit. At September 30, 2025, the Bank maintained a credit facility with the FHLB that provided for immediately available borrowings up to an aggregate amount to 45% of the Bank's total assets, limited by available collateral, under which short-term borrowings totaling \$20.00 million and no long-term borrowings were outstanding at September 30, 2025. The Bank maintains one short-term borrowing line with the FRB with total credit based on eligible collateral. At September 30, 2025, the Bank had no outstanding balance on this line, with \$70.57 million available for future borrowings. A short-term borrowing line of credit of \$50.00 million is also maintained at Pacific Coast Bankers' Bank ("PCBB"). The Bank had no outstanding balance on this borrowing line of credit at September 30, 2025.

For additional information regarding our borrowings, see "Note 11 - FHLB Borrowings and Other Borrowings" of the Notes to Consolidated Financial Statements contained in Item 8 of this report.